Quarterly Business Review — Q2 2026

Prepared for the executive committee · Confidential

1. Executive summary

Revenue grew **7.5%** quarter on quarter, driven by Asia Pacific and North America. Europe declined slightly as two large contracts moved into the third quarter. Gross margin held at 41.2%, and operating cash flow was positive for the sixth consecutive quarter.

- Revenue: $12.6M (+7.5% QoQ)
- Gross margin: 41.2% (flat)
- New enterprise customers: 14
- Net revenue retention: 112%

2. Revenue by region

Table 1 shows revenue by region for the first two quarters. Figures are unaudited and stated in US dollars.

Region	Q1 revenue	Q2 revenue	Change	Owner
North America	$4,210,000	$4,655,000	+10.6%	A. Patel
Europe	$3,180,500	$3,092,250	-2.8%	M. Novak
Asia Pacific	$2,740,000	$3,215,750	+17.4%	K. Tanaka
Latin America	$980,250	$1,041,000	+6.2%	L. Souza
Middle East & Africa	$612,000	$598,400	-2.2%	S. Haddad
Total	$11,722,750	$12,602,400	+7.5%	

3. Risks and mitigations

The risk register below lists the four risks the committee asked us to track. Each has a named owner and a mitigation due date.

ID	Risk	Likelihood	Impact	Mitigation
R-01	Key supplier insolvency in the EU component chain	Medium	High	Qualify second source by Q3; hold 6 weeks of safety stock
R-02	Currency movement against USD	High	Medium	Hedge 60% of forecast exposure on a rolling basis
R-03	Delayed ERP migration	Low	High	Freeze scope; weekly steering review
R-04	Freight capacity shortage in peak season	Medium	Medium	Book 70% of peak capacity under contract by June

4. Next steps

1. Approve the second-source budget for R-01.
2. Confirm the hedging policy change.
3. Review the ERP migration plan at the July meeting.

4.1 Appendix: methodology

None of this is free. Visibility requires integration work that rarely appears on a roadmap until it is urgently needed. Optionality requires supplier development budgets. Decision speed requires authority to be delegated to people close to the problem. Each of these is an organisational change as much as a technical one.

Our recommendation is to start with the twenty components that would stop production if they disappeared for a month. Map their supply paths to the second tier, qualify one alternative for each, and run one tabletop exercise per quarter. That programme can be delivered in under a year by a small team.